Wheels India Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026) · NSE: WHEELS · BSE: 590073 · Report prepared 7 Nov 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's public concall transcripts and filings. This report continues from our Q4-2026 report. The company holds calls only after Q2 and Q4.

1. Snapshot

What it does: Chennai-based TVS-group (TSF) maker of steel and aluminium wheels for cars, trucks, tractors and earthmovers, plus bus air suspension, hydraulic cylinders, construction fabrication and machining of large wind-turbine castings. About a quarter of sales are exported, mostly to the US, Europe and Brazil.

Measure	Value	Plain read
Market cap	₹6,218 cr	What the whole company is worth on the market. Far higher than a year ago; the share is near its high.
P/E	~36	About 36 years of current profit. Pricey for a wheel maker.
Q2 FY27 revenue (standalone)	₹1,598 cr (+36%)	Best quarter yet. Earthmover-wheel exports, bus air suspension and the domestic auto boom drove it.
Q2 net profit (standalone)	₹53.4 cr (vs ₹27.8 cr)	Nearly doubled. Consolidated profit up 90%.
Consolidated EBITDA margin	8.36%	Still about 8 paise per rupee before interest, tax and depreciation. The double-digit goal is not here yet.
Fresh equity	₹430 cr	₹180 cr preferential issue plus a ₹250 cr QIP, used to repay debt at end-September.
Debt	~₹910 cr (from ₹1,167 cr in March, incl. bill discounting)	Cut on the second-last day of the quarter, so the interest saving shows from Q3.

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY23 → Q2 FY26 (7 calls)	Nov 2022 – Oct 2025	Carried forward from Q4-2026 report
Q4 FY26 (prior boundary)	15 May 2026	Read in the Q4-2026 report
Q2 FY27	29 Oct 2026	Newly deep-read in full ★ (company site, filed with NSE 4 Nov 2026)

★ Latest concall highlights — Q2 FY27 (29 Oct 2026)

- **Results:** standalone revenue +36%, profit nearly doubled; H1 revenue +26%, profit +66%. Auto segment up about 40%; industrial segment muted (fabrication and wind slow, staff hired ahead of Q3 volumes).
- **Aluminium wheels:** capacity 80,000 a month, going to 130,000 by March (next phase already approved). Volume at the ~40,000 breakeven; PBT-positive from December; 100,000 a month and a 10-12% margin targeted by Q1 FY28. Q4 volume to roughly double Q2.
- **Debt cut with new equity:** ₹430 cr raised; bill discounting and working-capital loans repaid. Capex now ₹400-450 cr this year.
- **New ventures:** 20% of a Bosch India / Brakes India JV (₹100 cr total) for electronic air suspension aimed at European and North American trucks. Air suspension volumes up about 50%. Wind-casting partner expanding 3,500 → 5,000 tonnes a month from Dec/Jan.
- **Tone:** confident, but warns growth slows from Q3 as last year's GST-cut boost laps. Double-digit EBITDA margin: "Two years."

Business mix & capacity. Exports ~26% of revenue (FY26); H1 FY27 exports ~₹760 cr with the US up 50%. Auto ~80% / industrial ~20%. No group-wide utilisation figure. Aluminium wheels run at about half of the 80,000/ month capacity; air suspension is "ahead of capacity"; tractor and hydraulic lines underused.

★ Since our last report (builds on the Q4-2026 report, call of 15 May 2026)

Prior verdicts: **Trigger YES · Consistency YES.**

Prior read	What we said then	What the new call shows	Movement
Trigger: mix shift to niches	Proven and playing out	Record quarter led by earthmover exports and air suspension; aluminium turning profitable	Confirmed
Consistency	Delivers big items, slips on timing	Same pattern: delivered growth, margin still ~8%	Confirmed
Double-digit margin "1-2 years away"	A goal rolled forward for years	Now "Two years" again	Slipping
Aluminium 60,000/month for double-digit margin	Stuck near 25-40k	~40k volume, PBT-positive from December, 100k by Q1 FY28	Improving
Hydraulic cylinders scale in FY27	Turned positive in Q4 FY26	Still low single-digit margin; scale-up and exports from January	Slipping
West Asia cost inflation	Fresh worry	Raw material passed through automatically; fuel claims settling by Q3	Improving

The prior report had no checkpoints box. **Checkpoint results: n/a (no stored checkpoints)**.

Verdict change: both unchanged. The equity raise and debt cut are new and help; the margin date moving again is the familiar catch.

★ 3. Earning-trigger thesis

Wheels India is shifting from plain steel wheels, which grow only as fast as truck and tractor sales, into five faster niches: earthmover and tractor wheel exports, wind-turbine machining, aluminium car wheels, bus air suspension and hydraulic cylinders. Several of these run below scale today, so as they fill up they should lift the group margin from 8% toward 10%. This quarter the earthmover exports and air suspension did the heavy lifting; aluminium is the next big step, with management calling it the largest growth driver until Q1 FY28.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Aluminium car wheels	130k/month capacity by March; 100k volume and 10-12% margin by Q1 FY28	EBITDA-positive, at breakeven volume	Q4 FY27-Q1 FY28	Moderate	↑
Earthmover wheel exports	Exports to roughly double H1 for the year	US business +50%	Now	Strong	↑
Bus air suspension	Growing ahead of capacity; Bosch JV for EU/US trucks	Volume +50%	Now	Strong	↑
Wind machining	Partner to 5,000 t/month from Dec/ Jan; doubling in two years	Double-digit margin; slow quarter	FY28	Strong	Unchanged
Hydraulic cylinders	Scale-up and exports from January	Low single-digit margin	Q4 FY27	Weak	↓

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	Yes	"Raised funds of INR430 crores ... to reduce the debt"; debt down from ₹1,167 cr to ~₹910 cr (29 Oct 2026)
New business	Yes	Bosch India / Brakes India JV, 20% stake, electronic air suspension for European and North American trucks (29 Oct 2026)
Margin up	No	EBITDA still ~8%; double-digit "two years" away
New management	No	Not mentioned
New capacity	Yes	Aluminium wheels "adding capacity up to 130,000 a month by end of March"; capex ₹400-450 cr (29 Oct 2026)
Big orders	No	Works on customer schedules, doesn't track an order book
Turnaround	No	Not stated this call
Promoter buying	No	A preferential issue was done, but the call didn't say who subscribed

Single concrete driver: aluminium car-wheel volume ramping toward 100,000 a month by Q1 FY28, on top of earthmover-wheel exports and bus air suspension already growing fast.

3c. Margin bridge

Consolidated EBITDA margin 8.36%, roughly where it has been. Strong auto growth was offset by a weak industrial segment (fabrication and wind slow, staff hired ahead of volume). Interest savings from the debt cut and fuel-cost recoveries start from Q3. Margin flat, so no lasting move yet.

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY23 onward	Double-digit EBITDA margin in 2-3 years	Still ~8%; now "two years"	Missed (so far)
FY26	Loss-making arms to turn positive	Done in Q4 FY26; hydraulics still thin	Delivered
May 2026	Aluminium capacity 80k/month by Q2 FY27	80k capacity in place; volume ~40k	Partly
May 2026	Pass through West Asia cost inflation	Raw material automatic; fuel claims mostly settling by Q3	Delivered
Ongoing	Hold debt around ₹700 cr	Rose with working capital; cut with ₹430 cr of equity	Partly

Narrative drift. Very little. Same MD, same five-niche strategy, candid on what's slow (hydraulics, fabrication, global tractors) and on poor visibility past Q3. The one recurring miss is the double-digit margin date. Raising equity to fix the balance sheet is new; it dilutes holders but also shows the debt-at-₹700 cr line was slipping.

5. Bottom line

Durable earning trigger? → YES vs last quarter: unchanged

The best quarter ever, led by the niches management has talked about for years. Aluminium wheels reaching breakeven and going PBT-positive in December is the next proof point. The catch is that the group margin still hasn't moved off 8%.

Management consistent? → YES vs last quarter: unchanged

Delivers the growth and the turnarounds, explains the slow parts openly. Timing on margins keeps slipping, which keeps this a solid rather than clean Yes.

★ 6. Checkpoints for next quarter

- Aluminium wheel business turns PBT-positive from December
- Aluminium capacity reaches 130,000 a month by March
- Hydraulic cylinder scale-up and first export supplies start from January